

percentage of investors can excel at picking their own stocks. Everyone else would be better off getting help, ideally through an index fund.

Graham advised investors to practice first, just as even the greatest athletes and musicians practice and rehearse before every actual performance. He suggested starting off by spending a year tracking and picking stocks (but *not* with real money). <sup>1</sup> In Graham's day, you would have practiced using a ledger of hypothetical buys and sells on a legal pad; nowadays, you can use "portfolio trackers" at websites like [www.morningstar.com](http://www.morningstar.com), <http://finance.yahoo.com>, <http://money.cnn.com/services/portfolio/> or [www.marketocracy.com](http://www.marketocracy.com) (at the last site, ignore the "market-beating" hype on its funds and other services).

By test-driving your techniques before trying them with real money, you can make mistakes without incurring any actual losses, develop the discipline to avoid frequent trading, compare your approach against those of leading money managers, and learn what works for you. Best of all, tracking the outcome of all your stock picks will prevent you from forgetting that some of your hunches turn out to be stinkers. That will force you to learn from your winners *and* your losers. After a year, measure your results against how you would have done if you had put all your money in an S & P 500 index fund. If you didn't enjoy the experiment or your picks were poor, no harm done—selecting individual stocks is not for you. Get yourself an index fund and stop wasting your time on stock picking.

If you enjoyed the experiment and earned sufficiently good returns, gradually assemble a basket of stocks—but limit it to a maximum of 10% of your overall portfolio (keep the rest in an index fund). And remember, you can always stop if it no longer interests you or your returns turn bad.

## **Looking Under the Right Rocks**

So how should you go about looking for a potentially rewarding stock? You can use websites like <http://finance.yahoo.com> and [www.morningstar.com](http://www.morningstar.com) to screen stocks with the statistical filters suggested in Chapter 14. Or you can take a more patient, craftsmanlike approach. Unlike most people, many of the best professional investors first get interested in a company when its share price goes down, not up. Christopher Browne of Tweedy Browne